

from Saks Fifth Avenue or from Lord & Taylor. They are only “special-occasion” shoppers at such stores. Almost all of their household purchases are placed on one “central” credit card, a Visa (preferred) card. Both their purchases are listed on one single statement each month. Each month they determine how much remains to be allocated for each consumption category, and at the end of each year they refer to these statements to compute their total expenditures for each category. Using this statement facilitates budgeting and making appropriations for the following year. Most important, their planning, budgeting, and consuming are coordinated events. Unlike the Souths, the Norths have one joint checking account to help facilitate the budgeting of items not paid for with their credit card.

What if you want to budget but don’t like the process? We recently interviewed a CPA who offers a household budgeting and consumption planning service. Mr. Arthur Gifford has several hundred high-income-producing clients. Most are either self-employed professionals or business owners. Some are PAWs. Some are UAWs.

We asked Mr. Gifford who uses his budgeting and consumption planning system. His response was predictable in light of the case studies of the Souths and Norths:

*Only those clients with considerable wealth want to know exactly how much their family spends on each and every category.*

Mr. Gifford is correct. But aren’t PAWs usually price sensitive when it comes to purchasing services? Not always. They are much less price sensitive when buying services that will help them control their family’s consumption behavior.

Do you know exactly how much your family spent last year for each and every category of product and service? Without such knowledge, it’s difficult to control your spending. If you can’t control your spending, you’re unlikely to accumulate prodigious amounts of wealth. A good start is to keep an accurate record of each and every expenditure that your family makes each month. Or ask your accountant to help you set up a system for tabulating and categorizing these expenditures. Then work with her to develop a budget. The goal is to enable you to set aside for investing purposes at least 15 percent of your pretax income each